

# Examination of the "E-Commerce Business Transformation" of Local Governments and Distortions in Fiscal Structure Caused by the Furusato Nozei System

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## — Focusing on a Comparative Analysis of Financial Settlement Data of Four Cities in Chiba Prefecture (Katsuura, Urayasu, Minamiboso, and Ichikawa) —

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**Date:** February 13, 2026

**DOI:** 10.5281/zenodo.18621287

**Keywords:** Furusato Nozei (Hometown Tax Donation), Local Public Finance, Chiba Prefecture, Katsuura City, Urayasu City, E-Commerce Transformation of Municipalities, Fiscal Adjustment System, Return Gift Competition

## Abstract

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This study conducts an empirical analysis of the changes brought about by the Furusato Nozei (Hometown Tax Donation) system on the fiscal structure and administrative functions of local governments. The analysis focuses on financial settlement data from FY2019 to FY2024 (Reiwa 1 to Reiwa 6) for four characteristic cities in Chiba Prefecture: Katsuura, Urayasu, Minamiboso, and Ichikawa. The results reveal a reality where fiscal stability is undermined in certain municipalities due to drastic fluctuations in donation revenues. Furthermore, the study confirms a high-cost structure where approximately 50% of received donations flow out externally as expenses, as well as a "coercive force of the system" that compels even wealthy municipalities—which originally had no need to compete—to participate defensively. This paper points out the current status of municipalities transforming from providers of public services into "specialty product retailers (EC operators)" and examines the sustainability of the system.

# Chapter 1. Introduction

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## 1.1 Research Background

The "Furusato Nozei System" was established in 2008 with the aim of correcting tax revenue disparities between regions and promoting local revitalization. While the initial concept of recirculating tax sources concentrated in urban areas back to rural regions has achieved certain results, competition among municipalities involving lavish return gifts has overheated in recent years. Despite repeated regulatory revisions by the Ministry of Internal Affairs and Communications (such as limiting return gifts to 30% or less of the donation amount and stricter local origin standards), there is ceaseless criticism that the reality has transformed from "donations" into substantial "government-run mail-order businesses (catalog shopping)."

In particular, the current situation where the expense ratio—including procurement costs for return gifts, shipping fees, and portal site commissions—reaches 50% of the total donation amount is extremely inefficient as a tax redistribution system. There are scattered cases where municipal employees are overwhelmed not by their primary administrative duties, but by logistics and marketing tasks such as inventory management, shipping arrangements, and handling complaints. This raises concerns about the risk of functional failure in local administration.

## 1.2 Purpose and Research Questions

Many existing studies have centered on analyses using nationwide macro data or discussions from legal and economic perspectives of the system. However, there is insufficient comparative research that traces in detail, chronologically, how this system has specifically impacted the fiscal situation of individual municipalities and transformed their expenditure structures.

Therefore, this study aims to verify the following questions:

1. **The Reality of "EC Business Transformation":** How does excessive competition for return gifts distort the expenditure structure of municipalities (specifically, object expenses, subsidies, etc.)?
2. **Fiscal Instability:** Is the rapid increase in donation amounts, which can be termed "special demand" (windfall), sustainable? What is the risk of fluctuation due to system changes or the end of the boom?

3. **Zero-Sum Game between Urban and Rural Areas:** What is the correlation between the revenues of "winning" municipalities and the outflow damages of "losing" municipalities within the region as a whole?

### 1.3 Analysis Targets and Methodology

This study selected "Chiba Prefecture" as the field of research, as it contains diverse municipalities that serve as a microcosm of Japan. Chiba is clearly divided into urban areas (northwestern part) adjacent to Tokyo that suffer from massive outflows of resident tax, and rural areas (southern and eastern parts) that possess abundant tourism and marine resources and aim to acquire donations despite depopulation. It is an optimal region for verifying the "scramble for wealth (cannibalism)" caused by the system.

Specifically, the following four cities are analyzed:

1. **Katsuura City (The Ultimate Winner):** A case of a "monster municipality" with a population of about 16,000 that attracted explosive donations through specific return gifts (Bonito, Tantan-men noodles, etc.), causing dramatic changes in fiscal indicators such as the ordinary balance ratio.
2. **Urayasu City (Defensive Participation):** A case of a municipality with a high financial capability index that is originally a non-recipient body of local allocation tax. However, since tax outflows caused by the system are not compensated, it was forced to enter the return gift competition as a defensive measure.
3. **Minamiboso City (Stable Type):** A control group that possesses similar geographical conditions (ocean, tourist destination) to Katsuura City but avoids extreme fluctuations and maintains relatively stable donation management.
4. **Ichikawa City (Urban Victim):** A typical example of a "victim type" municipality with a population of approximately 500,000, facing annual resident tax outflows in the billions of yen, raising concerns about the impact on administrative services.

For the analysis, data from the Ministry of Internal Affairs and Communications' "Survey Results on Hometown Tax Donations" as well as each city's "Financial Settlement Cards" and "Fiscal Status Data" are used to conduct a chronological comparative analysis from FY2019 (Reiwa 1) to FY2024 (Reiwa 6). In particular, the study focuses on numerical fluctuations before and after the system revision in October 2023 (strict enforcement of expense rules) to verify the vulnerability of municipal management.

## Chapter 2. Overheating Return Gift Competition and the Risk of Fiscal "Wild Fluctuations"

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This chapter analyzes the trends in donation acceptance amounts for the four cities in Chiba Prefecture (FY2019–FY2024) and discusses the singularity of the impact the Hometown Tax Donation system has on municipal finances, as well as the risks associated with its volatility.

### 2.1 "Special Demand" and the Plummet Caused by System Changes in Katsuura City

Figure 1 illustrates the trends in donation acceptance amounts over the past six years for the four target cities. The most notable movement is observed in Katsuura City (red line).

The city's donation revenue recorded a more than two-fold surge from FY2021 (approx. 2.35 billion JPY) to FY2022 (approx. 5.53 billion JPY). For a municipality with a population of about 16,000 to generate revenue far exceeding its standard financial scale in a single fiscal year is a phenomenon impossible in normal local fiscal management. The primary factor behind this surge is considered to be the success of aggressive marketing strategies via portal sites, coupled with powerful "local content" hits such as Bonito and Tantan-men noodles.

However, what is more noteworthy is the forecast for FY2024. From the peak of approximately 5.53 billion JPY, it has plummeted to approximately 1.66 billion JPY in just two years—a decrease to less than one-third. The main cause of this sharp decline lies in the strict enforcement of system rules by the Ministry of Internal Affairs and Communications (MIC) implemented in October 2023 (revision of origin standards for aged meat and polished rice, and clarification of expense rules).

Furthermore, the wave of system revisions shaking municipal finances does not end here. The revision under MIC Notification No. 220 in June 2025 determined that **regulations on "points granted by portal sites" and "disclosure of recruitment cost details (visualization of payment breakdowns to portal sites)"** will be newly applied from October 2026. "Winning" municipalities like Katsuura City have heavily relied on leveraging high return-rate point campaigns offered by private E-Commerce platforms to attract donations.

The new regulations are designed to block this marketing method peculiar to EC sites —"customer attraction via point returns"—and it is highly probable that donation revenues will further shrink and normalize in the future. This fact demonstrates that revenue from Hometown Tax Donations is an extremely unstable "market-linked financial resource" that fluctuates wildly like stock prices due to a single change in national policy. If a municipality had increased fixed costs, such as hiring staff or constructing large warehouses, based on peak revenue (locking in windfall gains), this sharp decline and future tightening of regulations could trigger fiscal rigidity. It can be said that this is a case where the risk of a "bubble burst" has materialized.

**[Figure 1: Trends in Hometown Tax Donation Acceptance Amounts for 4 Cities in Chiba Prefecture (FY R1–R6)]**

**Furusato Nouzei Acceptance Amount Trend for 4 Cities in Chiba Prefecture (FY R1–R6)**



## 2.2 The "Coercive Force of the System" Seen in Urayasu City's Participation

On the other hand, the trend of Urayasu City (blue line) in the urban area vividly illustrates the "coercive force" possessed by the system. Urayasu City has a high financial capability index and is a non-recipient body of the Local Allocation Tax. Therefore, even if resident tax flows out due to Hometown Tax Donations, it does not receive compensation (allocation tax measures) from the national government. In other words, the structure is such that the outflow amount becomes a net loss for the city.

Looking at the data, from FY2019 (approx. 0.03 billion JPY) to FY2020, donation acceptance remained at a low level, indicating a wait-and-see attitude toward the system. However, likely unable to endure the expansion of outflows, the city clearly shifted its policy from FY2021 onwards (approx. 0.27 billion JPY), rapidly increasing its acceptance amount to approx. 1.19 billion JPY in FY2023 and approx. 1.34 billion JPY in FY2024.

This can be interpreted as a defensive action where a wealthy municipality, which could originally stand on its own through administrative services alone, was forced to participate in the "money game" of return gift competition against its will to avoid "sitting and waiting for death" (unilateral outflow). It must be said that the Hometown Tax Donation system functions as a mechanism that virtually forces "EC business transformation" even on urban municipalities under the pretext of promoting local specialties.

### **2.3 Stable Types and the Limits of Effort**

In contrast, Minamiboso City (green line) has fluctuated by several hundred million yen, from approx. 0.71 billion JPY in FY2019 to approx. 0.59 billion JPY in FY2024, but does not show extreme spikes like Katsuura City. This indicates that even with similar geographical conditions (seafood, tourist destination), donation amounts hit a ceiling at a certain level without a specific "explosive hit product."

Regarding Ichikawa City (purple line), although it collected a record high of approx. 0.08 billion JPY in FY2024, the scale is far too small compared to Katsuura's 1.6 billion JPY or Urayasu's 1.3 billion JPY. The reality that a designated city-class municipality with a population of 500,000 cannot even reach the feet of a fishing village with a population of 16,000, despite striving to develop return gifts, suggests that the outcome of this system is determined not by "administrative effort" but simply by the "presence or absence of highly cash-convertible resources (local products)."

## **Chapter 3. Verification of "Lost Taxes" and the High-Cost Structure**

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While the previous chapter discussed the volatility of donation acceptance amounts, this chapter focuses on the breakdown of those amounts, namely the "expense structure." The full amount of donations collected by municipalities is not returned to

resident services. After deducting "expenses" such as return gift procurement costs, shipping fees, and portal site commissions, the "real water" (net revenue) remaining in the region is limited.

### 3.1 The 50% Expense Wall and the "Middleman" Structure

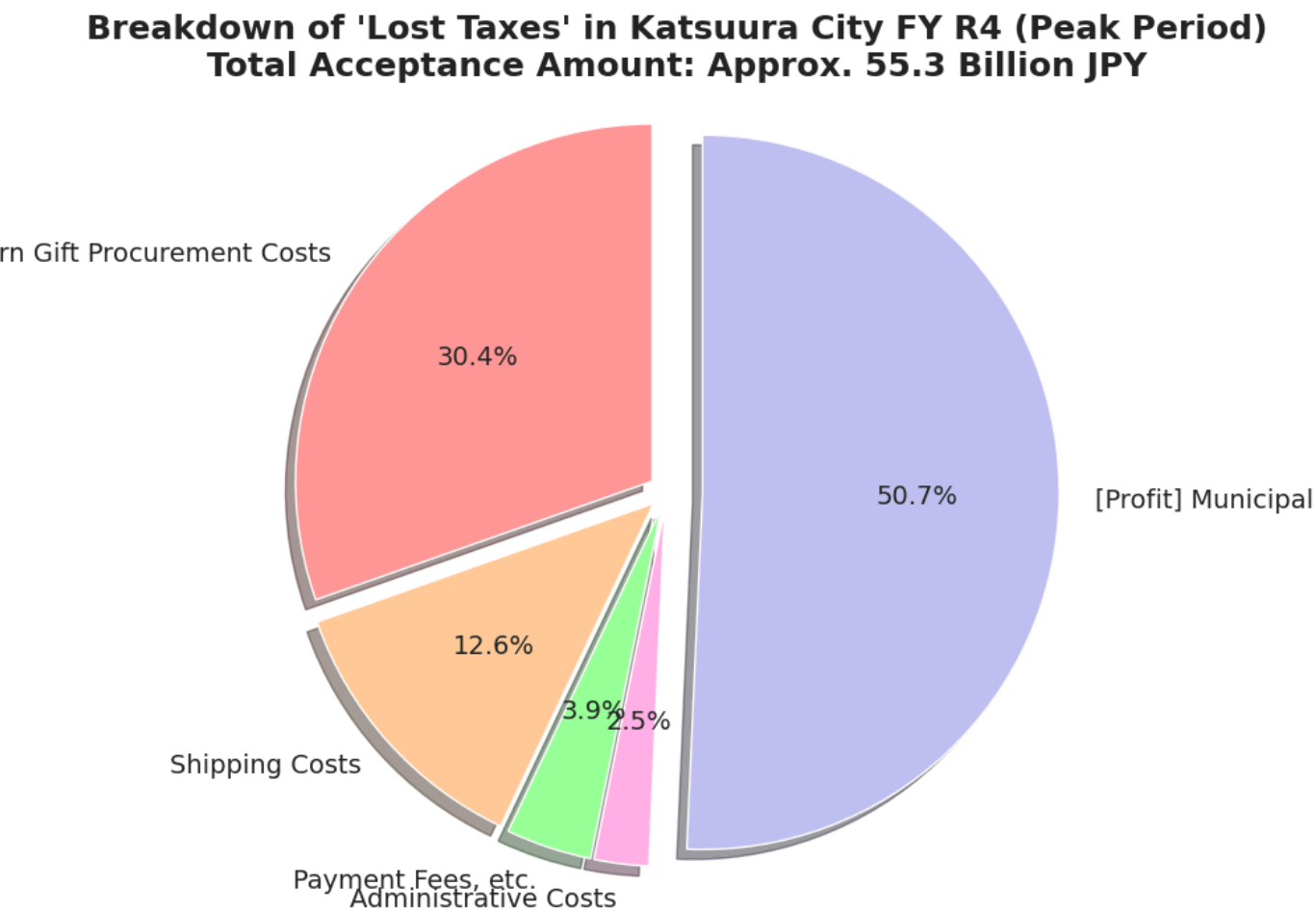
Figure 2 illustrates the estimated breakdown of donation usage in Katsuura City's FY2022 settlement, where it recorded a record high (approx. 5.53 billion JPY).

The shocking fact revealed by the data is that **approximately 50% (approx. 2.76 billion JPY), accounting for nearly half of the total accepted amount, vanished as expenses.** This can be said to be the result of investing costs to the very limit of the rule set by the Ministry of Internal Affairs and Communications, which states that "the expense ratio must be 50% or less of the donation amount."

Looking at the breakdown in detail, in contrast to "return gift procurement costs (approx. 1.66 billion JPY)"—which can be considered a return to local industries —"**shipping and other delivery costs (approx. 0.68 billion JPY),**" along with payment fees and administrative expenses, amount to huge sums. The bloating of logistics costs is particularly significant. The structure highlights that local municipalities like Katsuura City effectively serve as a "giant pump" recycling tax money to major shipping companies, urban advertising agencies, and platformers.

Ideally, taxes should be collected with minimal cost and allocated maximally to resident welfare. However, this data suggests that the Hometown Tax Donation system has transformed into an extremely inefficient collection system that "spends 1 yen in costs to gain 1 yen in tax revenue."

[Figure 2: Breakdown of Donation Usage in Katsuura City (FY R4 Settlement)]



3.2 Structural Disparities Unfillable by "Effort"

Next, we examine differences in profitability based on municipal scale and characteristics. Figure 3 compares the acceptance amount (total bar), expenses (red portion), municipal net revenue (blue portion), and expense ratio (line graph) for the four target cities in FY2023.

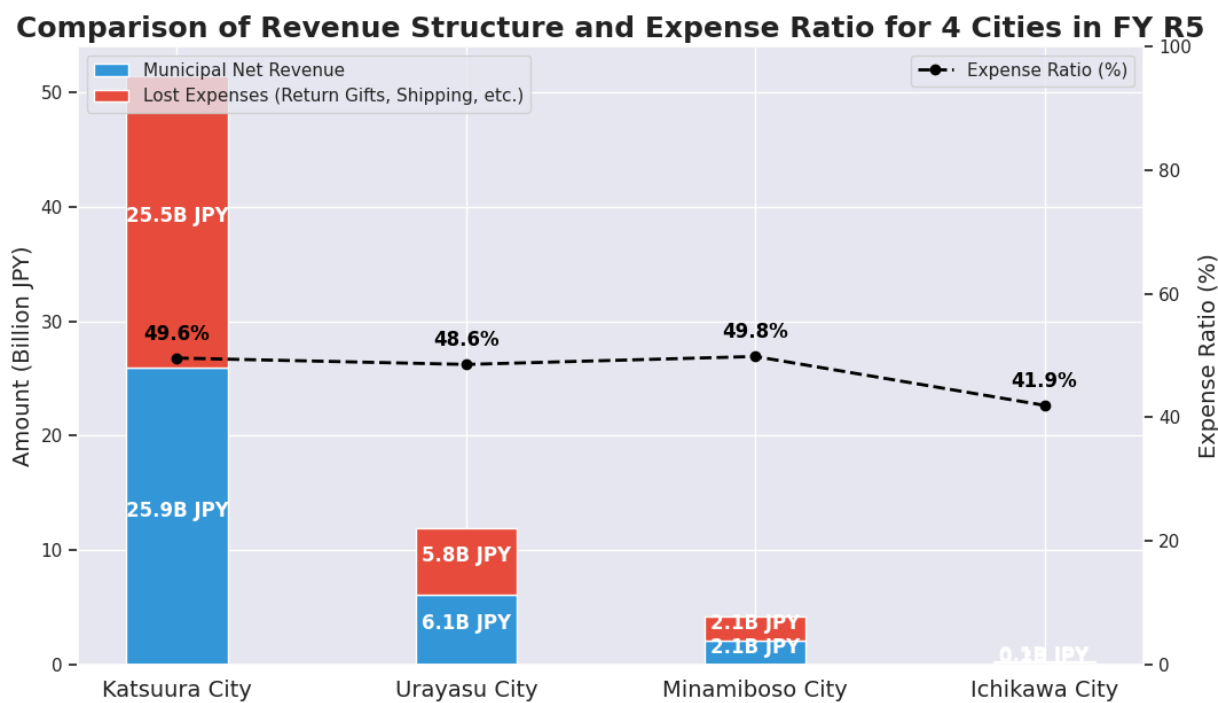
What is noteworthy here is the data for Ichikawa City (urban area, far right). Although the city has increased its acceptance amount through efforts such as developing return gifts, **the expense ratio remains high at approximately 42%**. As a result, the net revenue remaining on hand is merely tens of millions of yen. Meanwhile, resident tax outflow from the city amounts to billions of yen annually, creating a situation that is truly "a drop in the bucket."

In contrast, Katsuura City and Minamiboso City possess powerful "highly cash-convertible resources" (seafood), allowing economies of scale to work effectively and securing huge net revenues. However, their expense ratios still reach nearly 50%, and

the high-cost structure remains unchanged.

The conclusion derived from this comparison is that no matter how much urban municipalities engage in "management efforts" to participate in return gift competition, they are in a structure of "labor in vain" where only administrative burdens and expenses increase because scale merit does not apply. The argument defending the system by saying "urban areas should also make efforts to earn" must be called a reckless theory that ignores this asymmetry in cost structure.

**[Figure 3: Comparison of Revenue Structure and Expense Ratio by Municipal Scale (FY R5)]**



**3.3 The "EC Business Transformation" of Municipalities**

From the above data analysis, it can be concluded that the reality of the Hometown Tax Donation system is not "donations," but the "mail-order business (E-Commerce)" itself, with municipalities as the operating entities.

As seen in the case of Katsuura City, municipalities operate on the principle of maximizing "Sales (Donation Amount)" by inputting "Cost of Goods Sold (Return Gift Costs)" and "SG&A Expenses (Shipping/Advertising Costs)" to the limit. This is exactly the management method of a profit-making enterprise and is at the opposite pole of the "fairness and stability" that administrative agencies should originally uphold.

In the next chapter, we will consider from a qualitative perspective what kind of adverse effects this "trading company transformation of municipalities" brings to the administrative field.

## **Chapter 4: Adverse Effects of the "EC-Operatorization" of Local Governments**

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Based on the quantitative analysis in the preceding chapters, it is evident that certain municipalities have shifted toward a "government-managed mail-order" structure, investing massive expenses to attract donations. This chapter examines the specific adverse effects of this transformation on administrative functions and fiscal sustainability.

### **4.1 Transformation of Administrative Functions into "Logistics Centers"**

The phenomenon observed in Katsuura City—where donation acceptance amounts ballooned several times over within a few years—brings about significant internal distortions in municipal organizations. As demonstrated in Chapter 3, approximately 50% of the total donations are consumed as expenses, including substantial costs for administrative tasks and shipping management.

This implies that local civil servants, who should originally be engaged in promoting resident welfare, education, and infrastructure maintenance, are instead preoccupied with "EC-operator back-office duties," such as inventory management of return gifts, coordination with shipping companies, and handling complaints from donors (who are effectively consumers).

Complaints regarding "delays in delivery" or "poor quality of food items" are tasks that did not exist in traditional public service. The diversion of limited human resources toward "consumers" outside the city leads to the "crowding out" of essential administrative services for residents. In small-scale municipalities like Katsuura City, the burden on the small number of staff is immense. The reality of a city hall effectively functioning as a "logistics center" constitutes a departure from the fundamental principles of local autonomy.

Previous research has also highlighted this transformation. Ishii (2021) reported, based on interview surveys with top-performing municipalities, that many local governments have deployed aggressive marketing and efficiency measures comparable to private enterprises. These include the creation of dedicated "Landing Pages (LP)," improving

the "sizzle" (visual appeal) of return gift photography, and introducing Robotic Process Automation (RPA) to accelerate administrative processing . The high expense ratios and rapid donation growth identified in this study serve as evidence that such "uncompromising sales efforts" have overheated in certain municipalities, fundamentally altering the nature of administrative organizations.

## **4.2 "Addictive Dependence" and the Risk of Fiscal Rigidity**

The most alarming data in this study is the sharp decline in donations for Katsuura City in FY R6 (from approximately 5.5 billion yen to 1.6 billion yen). This demonstrates just how fragile the Hometown Tax (Furusato Nozei) is as a source of revenue.

If a municipality expands its fixed costs—such as hiring new personnel or constructing "white elephant" facilities (e.g., tourism centers or massive cold storage warehouses)—based on peak-period revenue, it faces a grave fiscal crisis when that revenue vanishes. While donation income can disappear instantly due to a single policy change by the central government, expenditures like personnel costs and facility maintenance are difficult to reduce.

This mismatch between "revenue volatility" and "expenditure rigidity" poses a structural risk of fiscal collapse. Temporary "windfall" money acts like an "addictive drug" for municipalities; the higher the dependence, the more severe the withdrawal symptoms (fiscal crisis) once the boom ends. The FY R6 data for Katsuura City serves as a "canary in a coal mine" for this danger.

## **4.3 A Structure of Mutual Ruin between Urban and Rural Areas**

From the perspective of urban areas, cities like Ichikawa and Urayasu continue to lose municipal tax revenue, which is the source of funding for public services. For a non-grant-recipient municipality like Urayasu, this loss directly translates into a decline in administrative service quality.

Conversely, the rural recipients are also exposed to high-cost structures and fiscal risks, as discussed above. Consequently, both sides are trapped in a "lose-lose" scenario: urban areas suffer from a guaranteed decrease in tax revenue, while rural areas are exhausted by unstable bubbles and overwhelming administrative workloads.

Furthermore, the fact that Urayasu City began its full-scale participation in the return gift competition in FY R4 indicates that this "zero-sum game" is expanding on a national scale. The current situation, where municipalities compete on the luxury of

their specialty product catalogs rather than the quality of their public services, is highly unproductive from the standpoint of optimal resource allocation.

## Chapter 5: Conclusion and Future Prospects

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### 5.1 Summary: Rectifying "EC-Operatorization" through Regulatory Tightening

This study has demonstrated, through the analysis of four cities in Chiba Prefecture, that the Hometown Tax (Furusato Nozei) system has transformed local governments into "EC operators," forcing their finances into a high-cost and unstable structure. The violent fluctuations in revenue seen in Katsuura City and the drain on tax resources in urban centers like Ichikawa City highlight the structural flaws inherent in the current system.

In response to these issues, the central government has implemented several rounds of regulatory reforms. Most notably, the June 2025 notification (MIC Notice No. 220) introduced three critical measures to be fully enforced by October 2026:

1. **Ban on Point Incentives:** By treating points issued by portal sites as "economic benefits" and restricting recruitment methods where municipalities bear the cost of these points, the government has moved to eliminate the "alchemy-like" structure of buying points with tax money.
2. **Visualization of Intermediary Costs:** The mandatory disclosure of detailed payments to portal operators (for advertising, payment processing, and administration) will bring transparency to the "black box" of expenses identified in Chapter 3.
3. **Fair Pricing Enforcement:** The requirement that procurement prices must not exceed general retail prices will suppress the unfair provision of profits and artificial price inflation.

These amendments can be evaluated as powerful corrective measures by the state against the "EC-operatorization" of local governments identified in this research.

### 5.2 Theoretical Insights and Future Outlook

From an economic perspective, monetary intervention is generally considered more efficient than quantity restrictions for correcting regional disparities. Ikegami et al. (2025) demonstrated in their analysis of the Japan Residency Matching Program that a

"subsidy policy" can achieve redistribution with significantly lower social welfare loss compared to "quantity caps" on urban positions.

In theory, the Hometown Tax system—which encourages redistribution through tax credits and return gifts (effectively acting as subsidies)—had the potential to be a superior mechanism compared to rigid quantity restrictions. However, as this research has revealed, the reality is that excessive transaction costs, represented by a "50% expense ratio," have severely undermined this theoretical efficiency.

With the new standards taking effect in October 2026, the business model of "luring donors with points and luxury gifts" is likely to reach its end. However, two major challenges remain:

First is the **"cat-and-mouse game" of regulatory loopholes**. History shows that whenever regulations are tightened, new methods such as "experience-based gifts" or "cost-shifting" often emerge. The key will be whether the mandatory disclosure of recruitment expenses leads to actual democratic oversight by residents and local assemblies.

Second is the **problem of "post-bubble" adjustment**. For municipalities like Katsuura City that have already experienced a sharp decline in donations, there is an urgent need for a "soft landing" strategy to downsize the administrative organizations and facilities that were over-expanded during the peak.

Furusato Nozei is at a major crossroads. Can it return to its original philosophy of "supporting regions" as the fever of "catalogue shopping" subsides? Or will it continue to cause systemic fatigue through the adversarial structure between urban and rural areas? It is imperative to continuously monitor the fiscal trends and expense ratios of municipalities under the new regulatory regime.

## **Data Availability**

The annual statistical data used in this analysis and the source code (Python / Jupyter Notebook) for generating the figures are available in the following GitHub repository to ensure the transparency and reproducibility of the research process.

### **Repository URL:**

<https://github.com/SBCM-Alliance/Case-Studies/tree/main/004-HomeTownTax4Cities>  
(<https://github.com/SBCM-Alliance/Case-Studies/tree/main/004-HomeTownTax4Cities>).

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